

BEFORE THE
FEDERAL MARITIME COMMISSION

FMC DOCKET NO. 24-13

ACCESS ONE TRANSPORT, INC.
Complainant,

v.

COSCO SHIPPING LINES CO. LTD.
Respondent.

COMPLAINANT'S OPENING BRIEF

Comes now Access One Transport, Inc. ("Access" or "Complainant") and hereby submits its opening brief for adjudication of claims against COSCO Shipping Lines Co. Ltd. ("COSCO") for violations of the Shipping Act of 1984 as amended (the "Act") at 46 U.S.C. §§41102(c), 41104 (a)(3) & (8).

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SUMMARY

Access' claims concern the wrongful billing of detention by COSCO for the alleged failure to return 379¹ empty containers to COSCO within allowed free time where COSCO did not provide for adequate terminal availability to facilitate the empty returns. As of the date of this brief, COSCO has cancelled invoices for 319 of the 379 containers thus admitting to the impropriety of the detention charges thereon. The detention charges on the remaining 60 containers had already been paid to COSCO by Access. Detention was charged on 262 discrete dates for the 379 containers from July 2021 through October 2022. COSCO's cancellation of the invoices related to the 319 containers encompasses 238 of the 262 billed dates. The remaining 24 dates correlate to invoices paid by Access, but Access will show that there were no appointments available on those dates (in addition to the cancelled dates) thus detention should not have been charged or collected. Also, as further evidence of COSCO's violations, of the 262 billed dates there were 80 dates for which COSCO cancelled some invoices but yet Access was required to pay for detention on those dates as well on other detention invoices.

Access is seeking cancellation of the remaining paid invoices with a refund of the amounts paid, reparations for damages caused by COSCO for the responsibility to store COSCO's empty containers pending the return, chassis use, stop over charges, re-delivery charges, interest and attorney's fees.

¹Access' claims originally concerned 399 container. Access hereby withdraws its claims as to the following containers without prejudice: CSNU7471846, CSNU6843928, OOLU8778304, OOCU7028675, TCNU3887450, OOLU9967200, BEAU4687084, FFAU2749388, OOCU7547921, FCIU4983480, CCLU6990242, OOCU7117068, CSNU1144131, TGBU5730331, CSNU7372252, OOLU9541976, SEGU6619481, TGHU0550452, BEAU5659596 and OOLU4950061. The remaining 379 are still in issue.

INTRODUCTION AND BACKGROUND FACTS

Access filed its complaint against COSCO alleging violations of the Shipping Act of 1984, as amended (the “Act”) at 46 U.S.C. §§41102(c), 41104(a)(3) & (8).

COSCO is an ocean common carrier (CF 1²). Access is a motor carrier (CF 2). As related to Access’ current claims, from on or about July 2021 through October 2022 (the “Relevant Time Period”), Access in its ordinary course of business, pulled full containers from COSCO designated terminals in the Ports of Los Angeles and Long Beach (hereinafter “LALB”) for delivery to Access and COSCO customers and to return empty containers to COSCO designated terminals (CF 3). Access’ and COSCO’s customers would fall into the definition of “Merchant” under the terms and conditions of COSCO’s bills of lading³ (CF4). After the customers had unloaded the cargo therein, Access in the regular course would attempt to return the empty containers to COSCO within the free time allowed (CF 5). Access provided motor carrier drayage services on behalf of COSCO in conjunction with the consignee (“Carrier Haulage”) and on behalf of consignees/cargo owners alone (“Merchant Haulage”) (CF 6). For Carrier Haulage, a motor carrier is nominated by the consignee and engaged by COSCO to deliver the full container to the consignee and return the empty at the expense of COSCO (CF 7). Merchant Haulage concerns services by a motor carrier retained by the consignee or cargo owner and is directed to pull the full container and return the empty at the expense of the consignee (CF 8). In both cases, COSCO would designate the available terminals for return of empty containers in LALB but on occasion no terminal was designated as

² Complainant’s Proposed Finding of Facts is more fully set forth below. Complainant’s proposed facts are designated as “CF”.

³ Per the bill of lading terms, “Merchant” is defined as: “the Consignor, the Shipper, the Receiver, the Consignee, the Owner of the Goods, the Holder or Endorsee of this Bill of Lading, any Person owing, entitled to or claiming the possession of the Goods or this Bill of Lading and anyone acting on behalf of any such person.”

available (CF 9). When COSCO designated terminal availability, Access found that either the terminals did not have any appointments available for return of the empty containers or were requiring “dual” transactions in order to return an empty container thus prohibiting the return of the empty container in a timely fashion (CF 10). A dual transaction requires the motor carrier to pick up a full container at the same time it dropped off an empty container. If a motor carrier does not have a corresponding full pick up at the terminal it may not drop off the empty (CF 11).

Access and COSCO are parties to the Uniform Intermodal Interchange and Facilities Access Agreement (“UIIA”). COSCO participates in the UIIA through COSCO Shipping North America, Inc. aka COSCO America (“COSCO NA”) (CF 12). Under the UIIA addendum applicable to COSCO, COSCO allows four business days free time to return empty containers after full loads are pulled from COSCO’s terminals (CF 13). Thereafter, per the COSCO Addendum to the UIIA, COSCO charges various rates per day detention for each day the empty container is not returned to COSCO beyond the free time allowed depending on the size and configuration of the empty container (CF 14). COSCO’s tariff has similar free time available for containers pulled under Merchant Haulage but allows 8 working days free time for containers pulled under Carrier Haulage (CF 15). The UIIA addendum and COSCO tariff both provide that charged days do not include Saturdays, Sundays and Holidays, without defining which “holidays” are observed (CF 16). COSCO, during discovery has refused to provide further clarity of the use of “holiday” in the UIIA (CF 17). In addition to the UIIA and its tariff, COSCO has agreements directly with shippers, consignees, beneficial cargo owners or other parties which extend the amount of free time allowed or that may change the amount of detention charged on a daily basis (CF 18). Access benefits from such agreements in terms of free time allowed, especially for Carrier Haulage (CF 19).

COSCO would designate locations for empty terminals via eModal through direct email from COSCO's Long Beach Customer Service Center (CF 20). eModal is a web based platform with provides visibility as to full and empty container status and the ability to make appointments for the pick up of full containers or return of empty containers to terminals in LALB (CF 21). In addition, motor carriers such as Access could obtain the designated empty container terminal location information through services such as Blue Cargo (CF 22). Access employees would consult the information provided by COSCO/eModal on a daily basis in an effort to determine if there were locations that were designated as an empty terminal location (CF 23). Where COSCO designated an empty return location, before an empty container could be returned, Access must then make an appointment with the designated terminal (CF 24). Access discovered there were no actual appointments available to return empty containers to COSCO terminals even when COSCO had designated a terminal for returns (CF 25). Access would also contact the designated terminal or COSCO to determine alternative locations or appointment availability (CF 26). Where dual transactions were required, Access did not have the requisite full container pick up to allow a delivery of an empty container to the terminal (CF 27).

During the Relevant Time Period, as related to its current claims, Access had difficulties returning 379 containers and was invoiced detention charges totaling \$350,785.00 (CF 28). Access disputed all of the detention invoices which are subject to this action (CF 29). Before and during the pendency of this action, COSCO threatened to "shut out" Access for failure to pay all detention charges and did in fact shut out Access. In addition, COSCO also threatened to shut out Access in February 2022 when COSCO actually owed Access for unpaid invoices on Carrier Haulage performed by Access for COSCO (CF 30).

Prior to the filing of Access' complaint, the claimed detention charges on the 379 containers can be categorized as follows (CF 31):

1. Detention charges were paid on 60 containers totaling \$42,795.00⁴.
2. COSCO cancelled detention charges in whole or part on 200 containers totaling \$110,270.00.
3. COSCO demanded payment of detention charges on 121 containers in whole or part totaling \$197,720.00⁵.

COSCO's actions in demanding payment of some detention charges but not others were arbitrary and capricious since COSCO would demand payment and also cancel charges for some of the same dates and would demand charges when there was no availability to return the empty containers or if only dual appointments were available (CF 35). COSCO, during discovery herein, refused to explain this arbitrary conduct (CF 36).

During the pendency of this action COSCO reversed course on the outstanding unpaid detention invoices. As early as May 2024 COSCO cancelled all detention charges on the previously pending open invoices except for one partial invoice⁶ (CF 37). COSCO has confirmed that only the one partial invoice remains outstanding which was part of Access original claim (CF 38)⁷. Thus at present, the invoices related to the claim stand as follows (CF 39):

⁴ Access also made an additional payment of \$1,830.00 to be applied to invoice no. HOU00061918 which had multiple containers (CF 32) The \$1,830.00 is included in the claim referenced below. For ease of reference Access has allocated the payment to container no. CSNU1322655 which would increase the "paid" containers to 61 (CF 33).

⁵ The detail totals more than the 379 containers since COSCO partially cancelled some charges on 3 containers and then cancelled the remaining charges at a later date (CF 34).

⁶ Invoice HOU00098381 was originally in the amount of \$27,200.00. COSCO has partially cancelled invoice HOU00098381 and now claims that only \$11,800.00 remains. However, this invoice has been withdrawn from Access' claims.

⁷ COSCO's statement of account also lists two additional invoices which are outside of the scope of the Relevant Time Period and not subject to this action (CF 46).

1. Detention charges were paid on 61 containers totaling \$45,995.00.
2. COSCO cancelled detention charges in whole or part on 319 containers totaling \$307,990.00.

In doing so, COSCO has admitted to the violations complained by Access (CF 40). Access submits, COSCO cancelled the invoices knowing they were for charges when there was no terminal availability for the return of empty containers (CF 41). When comparing the dates on which COSCO demanded and accepted payment of detention charges to the dates on which COSCO has now cancelled detention charges, all but 24 dates have been withdrawn by COSCO (CF 42). Even though COSCO has now admitted that there was no availability for empty returns on the vast majority of the dates at issue, Access has provided evidence that the containers could not be returned and detention charges should have been cancelled long ago (CF 43). In the few instances where Access does not have documentary information as to terminal locations on certain dates, Access' witness testimony and COSCO's actions in cancelling the related invoices should suffice to show the lack of empty return terminal locations and hence the violation of the Act (CF 44).

During the Relevant Time Period, since Access was unable to return the empty containers, Access was forced to keep the empty containers mounted on chassis owned or controlled by Access (or a pool chassis), and was forced to be responsible for storage of COSCO's empty containers at yards controlled by Access or which Access was allowed use (CF 45). Further because of the ongoing difficulties in obtaining empty terminal locations, where indicated in Access Claim Summary, Access would stop off the containers at its yard and then arrange for re-delivery once terminal appointments became available instead of taking the empty directly from consignee's premises directly back to the COSCO designated terminal. (CF 47).

Storage charges, chassis charges, stop over charges and redelivery charges were assessed by Access to COSCO (CF 48). The charges, including the dates on which they were assessed are reflected on invoices sent to COSCO by Access (CF 49). COSCO has not remitted payment on any of the claimed charges (CF 50). The total charges assessed were (CF 51):

Storage charges of \$115,975.00

Chassis charges \$103,080.00

Stop over charges \$30,750.00

Re-delivery charges \$19,680.00

Access has not been paid any of these charges (CF 52).

The violations of 46 U.S.C. §§41104(a)(3) & (8) are predicated on the unlawful practice of requiring “dual” transactions to return an empty container (CF 53).

As explained, a dual transaction requires the motor carrier to pick up a full container at the same time it dropped off an empty container. If a motor carrier does not have a corresponding full pick up at the terminal it may not drop off the empty (CF 11). Access was unable to return empty containers when a “dual” transaction was required (CF 54). As noted by the Commission at 85 FR 29638, 29655 (2020)⁸ “The Commission is particularly concerned about the reasonableness of dual move requirements, or more specifically, an ocean carrier imposing detention when a trucker's inability to return a container within free time is due to it not being able to satisfy a dual move requirement.” (CF 55).

Access maintains any requirement of a dual transaction for the return of an empty container and the resulting detention charges when the empty is not returned as part of a dual transaction

⁸ As related to the final Interpretive Rule on Demurrage and Detention under the Shipping Act, 46 CFR part 545.

constitutes an unreasonable preference or practice per 46 U.S.C. §41104(a)(3) and (8) and thus is an independent violation of the Act.

PROPOSED FINDINGS OF FACT

Access Proposed Findings of Fact are as indicated below and designated as “CF”. Access’ supporting Appendix has been bound separately, filed concurrently herewith and is incorporated by this reference.

CF 1: At all times relevant, COSCO was and is an ocean common carrier aka VOCC; Answer to Complaint, pg. 3, Claimant’s Appendix (pages in Claimant’s Appendix hereinafter referred to as “CX”) CX0004.

CF 2: At all times relevant, Access was and is a motor carrier; Declaration of Nobuyuki “Nobu” Suzuki, (Dec. of Suzuki”) ¶ 1, CX01442.

CF 3: From on or about July 2021 through October 2022 (the “Relevant Time Period”), Access in its ordinary course of business, pulled full containers from COSCO designated terminals in the Ports of Los Angeles and Long Beach for delivery to Access and COSCO customers and to return empty containers to COSCO designated terminals; Declaration of Kahana Ogawa (“Dec. of Ogawa”) ¶3, CX01451; Access Claim Summary, columns H - N, CX 01430-01435.

CF 4: Access’ and COSCO’s customers would fall into the definition of “Merchant” under the terms and conditions of COSCO’s bills of lading; Dec. of Suzuki, ¶2, CX01442; COSCO Bill of Lading terms, CX00155.

CF 5: After the consignees had unloaded the cargo in the COSCO containers, Access in the regular course would attempt to return the empty containers to COSCO within the free time allowed; Dec. of Suzuki, ¶3, CX01442.

CF 6: Access provided motor carrier drayage services on behalf of COSCO in conjunction with the consignee (“Carrier Haulage”) and on behalf of consignees/cargo owners directly (“Merchant Haulage”); Dec. of Suzuki, ¶¶4 and 5. CX01442.

CF 7: For Carrier Haulage, a motor carrier is nominated by the consignee and engaged by COSCO to deliver the full container to the consignee and return the empty at the expense of COSCO; Dec. of Suzuki, ¶4, CX01442.

CF 8: Merchant Haulage concerns services by a motor carrier retained by the consignee or cargo owner and is directed to pull the full container and return the empty at the expense of the merchant; Dec. of Suzuki, ¶5, CX01442.

CF 9: For Merchant Haulage or Carrier Haulage COSCO would designate the available terminals in the Ports of Los Angeles and Long Beach for return of empty containers but on occasion no terminal was available for empty returns; Dec of Suzuki, ¶6 CX01442; Declaration of William Thompson (“Dec. of Thompson”) ¶2, CX01446-01447; see generally eModal information and emails, CX01311-CX01418.

CF 10: When COSCO designated terminal availability, Access found that either the terminals did not have any appointments available for return of the empty containers or were requiring “dual” transactions in order to return an empty container thus prohibiting the return of the empty container in a timely fashion, Dec. of Thompson, ¶3, CX01447; Access Terminal Availability Summary, CX1436-CX01439; Blue Cargo screen shots, CX01092-CX01302; eModal information and emails, CX01311-CX01418.

CF 11: A dual transaction requires the motor carrier to pick up a full container at the same time it dropped off an empty container. If a motor carrier does not have a corresponding full pick up at the terminal it may not drop off the empty, Dec. of Thompson, ¶4, CX01447; COSCO First set of Discovery Responses, response to interrogatory no. 1, CX00097.

CF 12: Access and COSCO are parties to the Uniform Intermodal Interchange and Facilities Access Agreement (“UIIA”). COSCO participates in the UIIA through COSCO Shipping North America, Inc. aka COSCO America (“COSCO NA”); Dec of Suzuki, ¶7 CX01442; Answer pg. 3-5 CX00004-CX00006.

CF 13: Under the UIIA addendum applicable to COSCO, COSCO allows four business days free time to return empty containers after full loads are pulled from COSCO’s terminals; Answer pg.5 CX00006; UIIA addendum, CX00151.

CF 14: Thereafter, per the COSCO Addendum to the UIIA, COSCO charges various rates per day detention for each day the empty container is not returned to COSCO beyond the free time allowed

depending on the size and configuration of the empty container; Answer pg. 5, CX00006; UIIA addendum, CX00152-CX00153.

CF 15: COSCO's tariff has similar free time available for containers pulled under Merchant Haulage but allows 8 working days free time for containers pulled under Carrier Haulage, COSCO First set of Discovery Responses, response to interrogatory no. 8, CX00099; COSCO's Rules Tariff CX00451-CX00454.

CF 16: The UIIA addendum and COSCO's Rules Tariff both provide that free time days do not include Saturdays, Sundays and Holidays, without defining which "holidays" are observed UIIA addendum or tariff; CX00151; COSCO's Rules Tariff COSCO's Rules Tariff CX00451-CX00454.

CF 17: COSCO, during discovery has refused to provide further clarity of the use of "holiday" in the UIIA; COSCO First set of Discovery Responses, response to interrogatory no. 4, CX00098.

CF 18: In addition to the UIIA and its tariff, COSCO has further agreements directly with shippers, consignees, beneficial cargo owners or other parties which extend the amount of free time allowed or that may change the amount of detention charged on a daily basis; Answer, pp. 5-6, CX00006-CX00007; Dec. of Suzuki, ¶8, CX01442; COSCO's Rules Tariff, CX00455.

CF 19: Access benefits from such agreements in terms of free time allowed, especially for Carrier Haulage; Answer, pp. 5-6, CX00006-CX00007; Dec. of Suzuki, ¶8, CX01442; COSCO's Rules Tariff, CX00455.

CF 20: COSCO would designate locations for empty terminals via eModal through email information from COSCO's Long Beach Customer Service Center; COSCO First set of Discovery Responses, responses to request for production nos. 1 and 15, CX00082-CX00083, CX00097; Dec. of Thompson, ¶2 CX01446-CX01447; see generally eModal info and COSCO emails CX01311-CX01418.

CF 21: eModal is a web based platform with provides visibility as to full and empty container status and the ability to make appointments for the pick up of full containers or return of empty containers to terminals in the Ports of Los Angeles and Long Beach, Dec. of Thompson, ¶5, CX01447.

CF 22: In addition, motor carriers such as Access, could obtain the designated empty container terminal location information through services such as Blue Cargo, Dec. of Thompson, ¶6, CX01447; Dec. of Ogawa, ¶4 CX01451.

CF 23: Access employees would consult the information provided by COSCO/eModal on a daily basis in an effort to determine if there were locations that were designated as an empty terminal location; Dec. of Thompson, ¶7, CX01447.

CF 24: Where COSCO designated an empty return location, before an empty container could be returned, Access must then make an appointment with the designated terminal; Dec. of Thompson, ¶8, CX01447.

CF 25: Access discovered there were no actual appointments available to return empty containers to COSCO terminals even when COSCO had designated a terminal for returns; Dec. of Thompson, ¶9, CX01447; Dec. of Ogawa, ¶5, CX01451; Access Terminal Availability Summary, CX01436-CX01439, Blue Cargo screenshots, CX01092-CX01302; see generally eModal info and COSCO emails CX01311-CX01418.

CF 26: Access would also contact the designated terminal or COSCO to determine alternative locations or appointment availability; Dec. of Thompson, ¶10, CX01448; see generally eModal info and COSCO emails CX01311-CX01418.

CF 27: Where dual transactions were required, Access did not have the requisite full container pick up to allow a delivery of an empty container to the terminal; Dec. of Thompson, ¶11, CX01448; eModal info and COSCO emails, CX01319, CX01320, CX01349, CX01357, CX01391, CX01402, CX01403.

CF 28: During the Relevant Time Period, as relevant to its current claim, Access had difficulties returning 379 containers and was invoiced detention charges totaling \$350,785.00; Dec. of Ogawa, ¶7, CX01451; Access Claim summary, CX01430-01435.

CF 29: COSCO admits Access disputed all of the detention invoices which are subject to this action, COSCO First Set of Discovery Responses, response to interrogatory no. 1, CX00108; Access Interrogatories, Set 1, Exhibit A, CX00069-CX00076.

CF 30: Before and during the pendency of this action, COSCO threatened to “shut out” Access for failure to pay all detention charges and on one occasion did shut out Access. In addition, COSCO also threatened to shut out Access in February 2022 when COSCO actually owed Access for unpaid invoices on Carrier Haulage performed by Access for COSCO; Dec of Suzuki, ¶9, CX01442; Shut Out Notices CX01303-01310; Emails re Shut Out Notices CX01426-01429.

CF 31: Prior to the filing of Access’ complaint, the claimed detention charges for 379 containers can be categorized as follows:

1. Detention charges were paid on 60 containers totaling \$42,795.00⁹.
2. COSCO cancelled detention charges in whole or part on 200 containers totaling \$110,270.00.
3. COSCO demanded payment of detention charges on 121 containers totaling \$197,720.00¹⁰; Dec. of Ogawa, ¶8, 9 CX01452; Access Claim Summary, CX01430-01435.

⁹ Access also made an additional payment of \$1,830.00 to be applied to invoice no. HOU00061918 which had multiple containers (CF 32) The \$1,830.00 is included in the claim referenced herein. For ease of reference Access has allocated the payment to container no. CSNU1322655 which would increase the “paid” containers to 61 (CF 33).

¹⁰ The detail totals more than the 379 containers since COSCO partially cancelled some charges on 3 containers and then cancelled the remaining charges at a later date (CF 34).

CF 32: Access also made an additional payment of \$1,830.00 to be applied to invoice no. HOU00061918 which had multiple containers Dec. of Ogawa, ¶9, CX01452; Access Claim Summary CX01430-01435 including column X.

CF 33: For ease of reference Access has allocated the payment to container no. CSNU1322655 which would increase the “paid” containers to 61. Dec. of Ogawa, ¶9, CX01452; Access Claim Summary CX01430-01435.

CF 34: The detail in CF 31 totals more than the 379 containers since COSCO partially cancelled some charges on 3 containers and then cancelled the remaining charges at a later date; Dec. of Ogawa, ¶10, CX01452, Access Claim Summary, CX01430-01435 including columns R & S.

CF 35: COSCO’s actions in demanding payment of some detention charges but not others was arbitrary and capricious since COSCO would demand payment and also cancel charges for some of the same dates, and would demand charges when there was no availability to return the empty container or if only dual appointments were available. Dec. of Ogawa, ¶11, CX01452; Access Claim Summary, columns R, S, V and X CX01430-01435 and compare to Access Terminal Availability Summary data including columns C, D and E, CX01436-CX01439.

CF 36: COSCO, during discovery herein, refused to explain this arbitrary conduct and instead only referred to its policies in its tariff; COSCO First Set of Discovery Responses, response to interrogatories nos. 5, 8, 10 and 14, CX00098-CX00102.

CF 37: During the pendency of this action COSCO reversed course on the outstanding unpaid detention invoices. As early as May 2024 COSCO cancelled all detention charges on the previously pending open invoices except for one partial invoice; Declaration of Ogawa, ¶12, CX01452-CX01453; COSCO Response to discovery, Set 2, CX00137-CX00139; Access Requests for Admissions Set 2, CX00121-CX00129; COSCO Invoices 2024, CX01419-CX01425.

CF 38: COSCO has confirmed that only the one partial invoice remains outstanding which was part of Access' original claim. Declaration of Ogawa, ¶12, CX01452-CX01453; COSCO Response to discovery, Set 2, CX00137-CX00139; Access Requests for Admissions Set 2, CX00121-CX00129; COSCO Invoices 2024, CX01419-CX01425.

CF 39: at present, the invoices related to the claim on the 379 containers stand as follows:

1. Detention charges were paid on 61 containers totaling \$45,995.00.
2. COSCO cancelled detention charges in whole or part on 319 containers totaling \$307,990.00. One of these containers is also included in the calculation of the amount of containers paid. See CF 37, 38; Dec. of Ogawa ¶13 CX01453; Access Claim Summary CX01430-01435.

CF 40: COSCO has admitted to the violations complained by Access. CF 37-39, 42.

CF 41: COSCO cancelled the invoices knowing they were for charges when there was no terminal availability for the return of empty containers CF 37-40, 42.

CF 42: When comparing the dates on which COSCO demanded and accepted payment of detention charges to the dates on which COSCO has now cancelled detention charges, all but 24 dates have been withdrawn by COSCO; Dec. of Ogawa, ¶14 CX01453; See Access Claim Summary CX01430-01435, column E as compared to Access Terminal Availability Summary CX01436-CX01439 columns A, C-E.

CF 43: Even though COSCO has now admitted that there was no availability for empty returns on the vast majority of the dates at issue, Access has provided evidence that the containers could not be returned and detention should have been cancelled; Dec. of Ogawa, ¶15 CX01453; Blue Cargo screen shots CX01092-CX01302L eModal Information and Emails with COSCO, CX01311-CX01418; Access Terminal Availability Summary CX01436-CX01439 ; and Dec. of Thompson ¶7-10 CX01447-CX01448.

CF 44: In the few instances where Access does not have documentary information as to terminal locations on certain dates, Access' witness testimony and COSCO's actions in cancelling the related invoices should suffice to show the violation.; see CF 43 and evidence thereon.

CF 45: During the Relevant Time Period, since Access was unable to return the empty containers, Access was forced to keep the empty containers mounted on chassis owned or controlled by Access or a pool chassis, and was forced to be responsible for the storage of COSCO's empty containers at yards controlled by Access or which Access had access to; Dec. of Suzuki, ¶10 CX01443.

CF 46: COSCO's recent statement of account also lists two additional invoices which are outside of the scope of the Relevant Time Period and not subject to this action; Dec. of Ogawa, ¶12, CX01452-CX01453.

CF 47: Because of the ongoing difficulties in obtaining empty terminal locations, where indicated by stop over charges in the Access Claim Summary, Access would stop over the container at its yard and then arrange for re-delivery once terminal appointments became available instead of taking the empty directly from consignee's premises directly back to the COSCO designated terminal; Dec. of Suzuki, ¶11 CX01443.

CF 48: Storage charges, chassis charges, stop over charges and redelivery charges were assessed by Access to COSCO. Dec. of Suzuki, ¶12 CX01443; Access invoices to COSCO, CXCX00713-CX01091.

CF 49: The charges, including the dates on which they were assessed are reflected on invoices sent to COSCO by Access; Dec. of Suzuki, ¶13 CX01443; Access invoices to COSCO, CXCX00713-CX01091; Dec. of Ogawa ¶16, CX01453CX01454; Access Claim Summary CX01430-01435 including columns AB-AF.

CF 50: COSCO has not remitted payment to Access on any of the claimed storage, chassis, stop over and re-delivery charges; Dec. of Ogawa, ¶17 CX01454.

CF 51: The following charges were assessed by Access to COSCO in relation to the relevant empty containers:

Storage charges of \$115,975.00

Chassis charges \$103,080.00

Stop over charges \$30,750.00

Re-delivery charges \$19,680.00; Dec. of Ogawa, ¶18 CX01454; Access Claim Summary, including columns AB-AF, CX01430-01435; Access invoices to COSCO, CXCX00713-CX01091.

CF 52: No person or entity has paid Access for the charges identified in CF 51; Dec. of Ogawa, ¶17 CX01454.

CF 53: The violations of 46 U.S.C. §§41104 (a)(3) & (8) are predicated on the unlawful practice of requiring “dual” transactions to return an empty container ; Access’ allegations are repeated in the Answer at pgs. 13-14, CX00014-CX00015.

CF 54: Access was unable to return empty containers when a “dual” transaction was required; Dec. of Thompson, ¶11 CX01448; eModal info and COSCO emails, CX01319, CX01320, CX01349, CX01357, CX01391, CX01402, CX01403.

CF 55: Dual move requirements, and more specifically, an ocean carrier imposing detention when a trucker's inability to return a container within free time is due to it not being able to satisfy a dual

move requirement is not a reasonable practice; 85 FR 29638, 29655; Dec. of Suzuki ¶14 CX01443.

CF 56: When challenged, COSCO's equipment department indicated they had no control over its designated terminals appointment system, Dec. of Thompson ¶12 CX01448; eModal Information and Emails with COSCO, CX1387, CX1401, CX01413; see also COSCO First Set of Discovery Responses response to request for admission no 10 , CX 00110.

CF 57: COSCO advised Access if there was an issue with appointments Access should dispute the charges with COSCO in Shanghai, Dec. of Thompson ¶12 CX01448; eModal Information and Emails with COSCO, CX01387, CX01401, CX01413.

CF 58: Access was charged detention on 379 separate containers over the course of 15 months, see generally Access Claim Summary CX01430-01435.

CF 59: When disputed, COSCO refused to accept that terminals did not have appointments or space or required dual appointments that could not be fulfilled. In the context of this complaint, those actions were not isolated but occurred from July 2021 through May 2024 when COSCO finally withdrew the remaining disputed invoices CF 30, 35, 37-40, 60, 65, 62.

CF 60: COSCO threatened to shut out Access on at least two separate occasions and did shut out Access on one occasion. COSCO also threatened to shut out Access in February 2022 when COSCO actually owed Access for unpaid invoices on Carrier Haulage performed by Access; Dec

of Suzuki, ¶9, CX01442; Shut Out Notices, CX01303-CX1310; Emails re Shut Out, CX01426-CX01429.

CF 61: COSCO's practice was to provide a system of inadequate space for the return of empty containers, refuse to acknowledge the lack of space, take no steps to correct the issue for over three years, and put the burden on a motor carrier to dispute known invalid charges, CF *passim*.

CF 62: If COSCO's invalid invoices were not paid, COSCO would threaten a shut out in an attempt to nevertheless enforce compliance, Dec of Suzuki, ¶9, CX01442; Shut Out Notices CX01303-01310; Emails re Shut Out Notices CX01426-01429.

CF 63: Access' claim concerns detention charges concerning 379 containers over the course of 262 different discrete dates from July 13, 2021 through October 10, 2022; CF 28, 58; Access Claim Summary CX01430-CX01435, including columns N & V; Access Terminal Availability Summary CX01436-CX01439, including column A.

CF 64: Prior to the suit, COSCO had already cancelled charges totaling \$110,270.00 concerning 200 containers; Access Claim Summary CX01430-01435 column R.

CF 65: Instead of cancelling detention for all invoices where dates reflected detention was unwarranted, COSCO arbitrarily cancelled charges for 80 dates where which have also been paid by Access; Dec. of Ogawa, ¶19 CX01454; Access Terminal Availability Summary CX01436-CX01439 columns A, C-E.

CF 66: During the course of this action, COSCO cancelled detention charges of \$197,720.00 for an additional 121 containers, Dec. of Ogawa, ¶20 CX01454; Access Claim Summary, including column S, CX01430-01435; COSCO Response to discovery, Set 2, CX00137-CX00139; Access Requests for Admissions Set 2, CX00121-CX00129; COSCO Invoices 2024, CX01419-CX01425.

CF 67: As of the date of this filing, all that remains are 24 dates which COSCO insists on continued billing; CF 42.

CF 68: All that remains are 24 dates which COSCO insists on continued billing (CF67). In short, for detention billing representing 319 of 379 containers related to 238 of 262 billed dates, COSCO admits its detention billing practices were in error, CF 42, CF 67.

CF 69: By its actions COSCO admits, it did not have adequate facilities for the return of its empty containers, was arbitrary and capricious with regard to its detention billing practices, its resolution of disputes and its attempts to enforce non-payment of invalid invoices by threatening to shut out Access. CF 30, 60, 62.

CF 70: COSCO did not have a single dedicated terminal for the return of empty containers the LALB; Access Terminal Availability Summary CX01436-CX01439; Blue Cargo screen shots, CX01092-CX01302; eModal Information and Emails with COSCO, CX01311-CX01418.

CF 71: On a regular workday basis, COSCO through eModal would publish/email a matrix of its designated terminals in LA/LB and the availability for empty return locations, CF 9.

CF 72: Once the eModal list is published and distributed, a motor carrier such as Access, would then attempt to obtain an appointment at the designated terminal; CF 24, CF 25; Dec. of Thompson, ¶3 CX01447.

CF 73: Because of continuing issues with obtaining appointments with designated terminals, Access had dedicated employees which were responsible to attempt to secure appointments several times throughout the day; Dec. of Suzuki, ¶15 CX01442.; Dec. of Thompson, ¶7 CX01447.

CF 74: When appointments were unavailable, Access would often contact COSCO, notifying COSCO that appointments were not available, seeking alternative locations; CF 26, CF 56, CF 57; Dec of Thompson, ¶10, CX01448; eModal Information and Emails with COSCO CX01311-CX01418.

CF 75: Access has been able to confirm the lack of empty return locations in several ways: A) COSCO's admissions CF 37-40, 42, 68 and 69; B) Blue Cargo information CX01092-CX01302; C) testimony and email communications produced from Access CF 9, 10, 25 and 43.

CF 76: COSCO, by cancelling detention for 238 of 262 disputed dates, has verified Access' position that no space was available for the return of empty containers for over 15 months! Access Terminal Availability Summary, CX01436-CX01439 including columns A, C-E; Access Claim Summary, CX01430-CX01435 including columns N, R, S & V.

CF 77: Blue Cargo screenshots show that even when COSCO professed to have terminal space available, such space was illusory since no appointments were available; Access Terminal Availability Summary, CX01436-01439; Blue Cargo Screen Shots CX01902-CX01302.

CF 78: Access attempted to contact COSCO and the terminals themselves to find locations and available appointments without success CF 26, CF 56, CF 57, CF 74.

CF 79: COSCO's inability to provide for adequate terminal facilities for the timely return of empty containers harmed cargo fluidity; Dec. of Suzuki, ¶16, CX01443.

CF 80: Apart from generalized guidance in its tariff, COSCO has not identified any other rules or procedures in which it addresses its improper detention billing practices; COSCO First Set of Discovery Responses, response to interrogatories nos. 5, 8, 10 and 14, CX00098-CX00102; COSCO's Rules Tariff, CX00455-CX00456.

CF 81: Per its tariff, COSCO was to undertake reconciliation of disputes within 30 days; COSCO Rules Tariff CX00455-CX00456.

CF 82: No specific guidance as to how COSCO was to address disputes is provided in COSCO's tariff. CF 80.

CF 83: Out of 379 invoices, COSCO took over two years to respond to the dispute by cancelling charges for 121 invoices totaling \$197,720.00, see CF 66.

CF 84: For 61 invoices totaling \$45,995.00 COSCO has yet to cancel such charges and issue a refund notwithstanding that some charges were incurred on 80 dates which COSCO has cancelled other charges; Dec. of Ogawa ¶21 CX01454-CX01455, Access Claim Summary CX01430-01435 and Access Terminal Availability Summary CX01436-CX01439, columns A, C-E.

CF 85: COSCO has not identified or provided any mechanism to ensure that the terminals it designates for empty returns actually has space or available appointments see CF 10, 25, 35, 57, 59, 77.

CF 86: In addition to and as part of its unjust practices re detention billing, COSCO threatened to shut out Access on at last two occasions, did shut out Access on one occasion, knowing full well the invoices remained in dispute and that the disputes were valid, CF 30, 60, 62.

CF 87: Without regard to the validity of any invoice, COSCO reserves the right in its tariff to shut out motor carriers if any invoice remains unpaid; COSCO Rules Tariff, CX00455-CX00456.

CF 88: Access had no ability to “flip”, i.e. remove, the empty container off of the chassis when it was required to store the container and chassis; Dec. of Suzuki, ¶17 CX01443-01444.

CF 89: Until the empty container was returned, not only was Access forced to be responsible to store COSCO’s empty container, Access was also unable to use the chassis associated with that container, Dec. of Suzuki, ¶17 CX01443-01444.

CF 90: COSCO's inability to accept empty containers in a timely fashion, required Access to store COSCO's containers on chassis without compensation; Dec. of Suzuki, ¶17 CX01443-01444.

CF 91: Valuable yard space and the inability to use the chassis, a shortage of which was occurring during the Relevant Time Period, were experienced by Access; Dec. of Suzuki, ¶17 CX01443-01444.

CF 92: Access billed COSCO for the involuntary storage and chassis use at the commercially acceptable rates of \$45.00 for container storage and \$40.00 for chassis per day for use on the dates where Access was unable to return the empty containers; Dec. of Suzuki, ¶18 CX01444; Dec. of Ogawa, ¶16 CX01453-CX01454; Access Invoices to COSCO, CXCX00713-CX01091; Access Claim Summary CX01430-01435 columns AC and AD.

CF 93: Under normal circumstances, Access would have been able to return the empty container directly from the consignee's place of business for the usual drayage charge assessed to COSCO or the consignee, Dec. of Suzuki, ¶11 CX01443.

CF 94: Because of the ongoing difficulties in obtaining empty terminal locations, Access would stop off the empty container at its yard and then arrange for re-delivery once terminal appointments became available instead of taking the empty directly from consignee's premises directly back to the COSCO designated terminal. As a result, Access was required to impose a stop over and re-delivery fee; Dec. of Suzuki, ¶11 CX01443.

CF 95: Access charged a “stop over” fee for this service in the amount of \$125.00 per container; Dec. of Suzuki, ¶11, 18 CX01443-CX01444; Access Invoices to COSCO, CXCX00713-CX0109; Access Claim Summary CX01430-01435, column AE.

CF 96: When space/appointments became available, Access would also have to undertake the final delivery to the port for the stop over empty containers, which would incur a “re-delivery” fee of \$80.00 per container. Dec. of Suzuki, ¶11, 18 CX01443-CX01444; Access Invoices to COSCO, CXCX00713-CX01091; Access Claim Summary CX01430-01435, column AF.

CF 97: If COSCO is not required to pay the storage, chassis, stop over and redelivery fees, COSCO would then experience a windfall in that it did not take any measures or expense to ensure its obligated adequate space and facilities to accept empty containers, and instead involuntarily required Access to bear the related expenses for storage, chassis use and additional stop over and re-delivery services; Dec. of Suzuki ¶ 19 CX01444.

CF 98: Access has incurred damages in the amounts as follows:

Storage charges of \$115,975.00

Chassis charges \$103,080.00

Stop over charges \$30,750.00

Re-delivery charges \$19,680.00 see CF 47-52; CF 88-97.

CF 99: In addition to the above costs incurred by Access, COSCO had collected \$45,995.00. in detention charges on invalid invoices; CF 39, 84.

CF 100: Access has demonstrated that the detention charges were invalid due to lack of designated terminals for empty returns or lack of appointments; CF 39, 84.

CF 101: The total invalid detention charges of \$45,995.00 should be refunded by COSCO to Access, CF 39, 84.

CF 102: When a dual move is required to return an empty container, it is precluding any motor carrier from returning an empty container unless it has a corresponding full container to pick up, CF 11, 35, 55.

CF 103: Dual moves restrictions give preference to any motor carrier which have the ability to pick up a full container at the same time as returning an empty at that particular terminal; CF 11, 35, and 55.

CF 104: Access has been charged detention when it was unable to return empty containers if it did not have a corresponding dual move, CF 11, 35 and 55.

CF 105: COSCO has confirmed its detention policies are found in its tariff for both Merchant and Carrier Haulage, CF 36, 80 and 82.

CF 106: COSCO does not provide for a detention exception in its tariff if a dual move cannot be used to return an empty container; COSCO's Rules Tariff CX00451-CX00454; CF 36, 80 and 82.

CF 107: COSCO charges detention even if a dual move is not available to the motor carrier. See Access Terminal Availability Summary CX01436-CX01439 and Access Claim Summary CX01430-CX01435.

CF 108: On at least 15 dates, certain COSCO's terminals designated only dual moves (and a subset of dual on POP) would be required to return empty containers. COSCO routinely charged Access for detention on those dates; Access Terminal Availability Summary CX01436-CX01439 and Access Claim Summary CX01430-01435.

CF 109: Access, at minimum, is acting on behalf of a "shipper"; CF 3-8.

CF 110: Access, picks up full containers and returns empties on behalf of its and COSCO customers, which are "shippers" as to COSCO, CF 3-8.

CF 111: Dual moves are by their very nature unjust and unfair, because COSCO is unfairly penalizing Access for patronizing another carrier or its designated terminal. COSCO and its terminals, by refusing to accept the return of empty containers unless there is a corresponding full container pick up at that terminal, is in effect unjustly and unfairly discriminating for the lack of additional shipments by COSCO or through COSCO's terminal; CF 10,11, 27, 35, 54, 55, 59, 102, 103, 104, 106, 107, 108.

CF 112: If a full container pick up was available at another terminal on behalf of another carrier, Access would have to forgo returning the empty container, CF 102; Dec. of Suzuki, ¶14 CX01443.

CF 113: To the extent the Presiding Officer has awarded reparations for COSCO's violations of §41102(c), additional reparations for violation of §§41104(a)(3) and (8) would be duplicative and instead Access seeks nominal damages in the amount of \$1.00; CF 98, 99.

CF 114: The return of COSCO's empty containers to a terminal or location designated by COSCO is integral to the receiving, handling, storing and delivering property, 46 C.F.R. §565.5(c)(ii).

CF 115: An ocean carrier such as COSCO is responsible for having adequate terminal facilities for its operations, including empty returns, see 85 FR 29638, 29650 (2020).

CF 116: Access filed its complaint, which was answered, prior to July 2024 thus the three year requirement of §41301(a) is satisfied. As a result, Access is entitled to seek reparations for injuries caused by COSCO's conduct, Answer to Complaint, CX00001-CX00022.

ARGUMENT

I. COSCO VIOLATED 46 U.S.C. §41102(c).

The Act at 46 U.S.C. §41102(c) provides: “(c) *Practices in handling property. A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.*”

The Federal Maritime Commission (“Commission”) has defined requirements to show a violation of 46 U.S.C. §41102(c). 46 C.F.R. §545.4 provides:

“46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

(a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;

(b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;

(c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;

(d) The practice or regulation is unjust or unreasonable; and

(e) The practice or regulation is the proximate cause of the claimed loss.”

A. COSCO is a Common Carrier By Water.

COSCO has admitted it is a common carrier by water as defined by the Act (CF 1) and as such is subject to compliance with 46 U.S.C. §41102(c). COSCO has also admitted its actions were committed by its agent COSCO NA with regard to its detention practices (CF 12). COSCO is responsible for any acts committed by COSCO NA in this instance. *United States v. Dish Network LLC* 954 F.3d 970, 976 (7th Cir. 2020). Thus, for the purposes of this brief, unless specifically referred to in the contrary, reference to COSCO also includes the actions taken by its agent COSCO NA.

B. COSCO's acts or omissions occurred on a normal, customary, and continuous basis.

In relation to the detention practices here, COSCO on a daily basis would publish/email through eModal locations to return its empty containers, without regard to the actual ability of a terminal to accept the equipment (CF 20). When challenged, COSCO's equipment department indicated they had no control over its designated terminals appointment system (CF 56) and that if there was an issue with appointments Access should dispute the charges with COSCO in Shanghai (CF 57). Access was charged detention on 379 separate containers over the course of 15 months (CF 58). When disputed, COSCO initially refused to accept that terminals did not have appointments or space or required dual appointments that could not be fulfilled. In the context of this complaint, those actions were not isolated but occurred from July 2021 through May 2024 when COSCO finally cancelled the remaining disputed invoices (CF 59). In addition, COSCO threatened to shut out Access on at least two separate occasions and indeed did shut out Access (CF 60). These were not isolated incidents, but rather took place routinely over the course of years concerning at least 379 containers. Thus, COSCO's actions were "normal, customary, and on a continuous basis."

C. Receiving empty containers is part of receiving, handling, storing or delivering property as contemplated by the Act.

The return of COSCO's empty containers to a terminal or location designated by COSCO is integral to the receiving, handling, storing and delivering property, 46 C.F.R. §565.5(c)(ii) (CF 114). An ocean carrier such as COSCO is responsible for having adequate terminal facilities for its operations, including empty returns, see 85 FR 29638, 29650 (2020). Thus, this element of 46 U.S.C. §41102(c) is satisfied.

**D. COSCO failed to Establish, Observe and Enforce Just and Reasonable Regulations
Connected with Receiving, Handling, Storing or Delivering Property.**

1. COSCO failed to establish just and reasonable regulations in connection with the inadequate return locations for its empty containers, billing of detention thereon, by arbitrarily denying disputes of unwarranted detention charges and shutting out motor carriers when invalid detention invoices went unpaid.

Once again, the Commission has provided guidance as to what may be considered as unjust or unreasonable under 46 U.S.C. §41102(c) and 46 C.F.R. §545.4(d). 46 C.F.R. §545.5 provides in its pertinent parts:

“(a) Purpose. The purpose of this rule is to provide guidance about how the Commission will interpret 46 U.S.C. 41102(c) and § 545.4(d) in the context of demurrage and detention.

“(b) Applicability and scope. This rule applies to practices and regulations relating to demurrage and detention for containerized cargo. For purposes of this rule, the terms demurrage and detention encompass any charges, including “per diem,” assessed by ocean common carriers, ... related to the use of ... shipping containers, not including freight charges.

(c) Incentive principle —

(1) General. In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.

(2) Particular applications of incentive principle —...

(ii) Empty container return. Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found.” Emphasis

added. In addition, to state the obvious, LALB is located in the state of California. Under California law, charging detention when a terminal is closed or is unable to accept a return of an empty container is unlawful, see *Cal. Bus. & Prof. Code*, §22928.

a. Through its actions, COSCO admits its practices were unreasonable and unjust.

COSCO's intentional practice was to provide a system of inadequate space for the return of empty containers, refuse to acknowledge the lack of space, take no steps to correct the issue for over three years, and put the burden on a motor carrier to dispute known invalid charges (CF 61). To add insult to injury if the invalid invoices were not paid, COSCO would threaten a shut out in an attempt to enforce compliance (CF 62).

Access' claim concerns detention charges concerning 379 containers over the course of 262 different discrete dates from July 13, 2021 through October 10, 2022 (CF 63). Prior to the suit, COSCO had already cancelled charges totaling \$110,270.00 concerning 200 containers. (CF 64). However, COSCO was inconsistent with its cancellation of invalid charges. Instead of cancelling detention for all invoices where dates reflected detention was unwarranted, COSCO arbitrarily cancelled charges for 80 dates which have also been paid by Access (CF 65). During the course of this action, COSCO cancelled detention charges of \$197,720.00 for an additional 121 containers. (CF 66). All that remains are 24 dates which COSCO insists on continued billing (CF 67). In short, for detention billing representing 319 of 379 containers related to 238 of 262 billed dates, COSCO admits its detention billing practices were in error (CF 68). By its actions, COSCO admits it did not have adequate facilities for the return of its empty containers, was arbitrary and capricious with regard to its detention billing practices, its resolution of disputes and its attempts to enforce non-payment of invalid invoices by threatening to shut out Access (CF 69).

b. COSCO failed to provide adequate terminal facilities for the return of its empty containers and was aware of the shortage of space.

COSCO was responsible for having adequate terminal facilities for its operations, including empty returns, see 85 FR 29638, 29650 (2020). COSCO did not have a single dedicated terminal for the return of empty containers the LALB (CF 70). Instead on a routine basis, COSCO through eModal would publish/email a matrix of its 6 designated terminals in LA/LB and the availability for empty return locations (CF 71). Once published, a motor carrier such as Access, would then attempt to obtain an appointment at the designated terminal (CF 72). Because of continuing issues with obtaining appointments with designated terminals, Access had dedicated employees who were responsible to attempt to secure appointments several times throughout the day (CF 73). When appointments were unavailable, Access would often contact COSCO, notifying COSCO that appointments were not available, seeking alternative locations (CF 74). Routinely COSCO's equipment department responded that COSCO was not responsible for its designated terminals' appointment availability and that if Access had issues it could dispute invoices with COSCO Shanghai (CF 56, 57).

Access has been able to confirm the lack of empty return locations in several ways: A) COSCO's admissions; B) Blue Cargo information, C) testimony and email communications produced from Access (CF 75).

As more fully explained above, by cancelling detention for 238 of 262 disputed dates, COSCO has, in essence verified Access' position that no space was available for the return of empty containers for over 15 months! (CF 76).

Access has also provided data and documents provided by Blue Cargo which shows that even when COSCO professed to have terminal space available, such space was illusory since no

appointments were available (CF 77). Access attempted to contact COSCO and the terminals themselves to find locations and available appointments without success (CF 78). Clearly, COSCO's inability to provide for adequate terminal facilities for the timely return of empty containers harmed cargo fluidity (CF 79).

c. COSCO was unreasonable and unjust in its mechanisms to dispute detention charges and its decisions to cancel invalid charges.

Apart from generalized guidance in its tariff, COSCO has not identified any other rules or procedures in which it addresses its improper detention billing practices (CF 80). COSCO admits Access had disputed all invoices which are the subject of this complaint (CF 29). Per its tariff, COSCO was to undertake reconciliation of disputes within 30 days (CF 81). No specific guidance as to how COSCO was to address disputes is provided in COSCO's tariff (CF 82). Out of 379 invoices, COSCO took two years to respond to the dispute by cancelling charges for 121 invoices totaling \$197,720.00 (CF 83), and for 61 invoices totaling \$45,995.00 COSCO has yet to cancel such charges and issue a refund notwithstanding that some charges were incurred on 80 dates which COSCO has cancelled other charges (CF 84). COSCO has not identified or provided any mechanism to ensure that the terminals it designates for empty returns actually has space or available appointments (CF 85).

d. COSCO was unreasonable and unjust in threatening shut out Access for non-payment of disputed and invalid invoices.

In addition to and as part of its unjust practices re detention billing, COSCO threatened to shut out Access on at least two occasions, did shut out Access on one occasion, knowing full well the invoices remained in dispute and that the disputes were valid (CF 86). Such is the policy of

COSCO as explained in its tariff (CF 87). These rigid unreasonable actions, when put into practice, are further evidence of COSCO's violation of the Act.

E. COSCO's actions proximately caused damage to Access.

1. Access was forced to be responsible for empty container storage, chassis use, stop over and redelivery services without compensation from COSCO.

46 U.S.C. §41301(a) provides: "*A person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part, except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.*" Access complains of COSCO's actions from July 2021 and thereafter (for example see CF 3). Access filed its complaint, which was answered, prior to July 2024 thus the three year requirement of §41301(a) is satisfied. As a result, Access is entitled to seek reparations for injuries caused by COSCO's conduct (CF 116). Reparations are awarded on actual damages, which means, "compensation for the actual loss or injuries sustained by reason of the wrongdoing.", *Tractors & Farm Equipment Ltd. V. Cosmos Shipping Co.*, Docket No. 81-57, 26 S.R.R. 788, 798 (ALJ Nov 23, 1992); *Cal. Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Docket No. 88-15, 25 S.R.R. 1213, 1230, SL 427466 at 23 (FMC Oct 19, 1990). The aggrieved party does not need evidence of absolute precision, but instead is only required to produce evidence sufficient to reasonably infer the actual loss sustained, *MAVL Capital Inc. v. Marine Transport Logistics, Inc.* Docket No. 16-16, 2022 WL 2209421 at *3 (FMC June 10, 2022). The following injuries were caused by COSCO's conduct.

When pulling full containers, a chassis is obviously necessary to facilitate the over the road transportation. Access used chassis owned or controlled by it or pooled chassis (CF 40). Access had no ability to "flip" the empty container off of the chassis if it was required to store the container

and chassis (CF 88). Thus, until the empty was returned, not only was Access forced to store COSCO's empty container, Access was also unable to use the chassis associated with that container (CF 89).

COSCO's inability to accept empty containers in a timely fashion, required Access to store COSCO's containers on chassis without compensation (CF 90). Valuable yard space and the inability to use the chassis, a shortage of which was occurring during the Relevant Time Period, were experienced by Access (CF 91). Access billed COSCO for the involuntary storage and chassis use at the commercially acceptable rates of \$45.00 for container storage and \$40.00 for chassis per day for use on the dates where Access was unable to return the empty containers (CF 92).

In addition, under normal circumstances, Access would have been able to return the empty container directly from the consignee's place of business for the customary drayage charge assessed to COSCO or the consignee (CF 93). Instead, during the Relevant Time Period because of the ongoing difficulties in obtaining empty terminal locations, where indicated in Access summary, Access would stop off the container at its yard and then arrange for re-delivery once terminal appointments became available instead of taking the empty directly from consignee's premises directly back to the COSCO designated terminal (CF 45). Thus the imposition of an additional "stop over" fee by Access (CF 94). Access charged a "stop over" fee for this service in the amount of \$125.00 per container (CF 95). Last, when space/appointments became available, Access would also have to undertake the final delivery to the port, which would incur a "re-delivery" fee of \$80.00 per container (CF 96). If COSCO is not required to pay the storage, chassis, stop over and redelivery fees, COSCO would then experience a windfall in that it did not take any measures or expense to ensure its obligated adequate space and facilities to accept empty

containers, and instead involuntarily required Access to bear the related expenses for storage, chassis use and additional stop over and re-delivery services (CF 97).

Access thus has incurred damages for these charges in the amounts as follows (CF 51, 98):

Storage charges of \$115,975.00

Chassis charges \$103,080.00

Stop over charges \$30,750.00

Re-delivery charges \$19,680.00

2. COSCO has not refunded collected detention on invalid invoices.

In addition to the above costs incurred by Access, COSCO collected \$45,995.00. in detention charges on invalid invoices (CF 99). Access has demonstrated that the detention charges were invalid due to lack of designated terminals for empty returns or lack of appointments (CF 100) The total invalid detention charges of \$45,995.00 should thus be refunded by COSCO to Access (CF 101).

3. Access is Entitled to Prejudgment Interest on its Damages.

Per 46 C.F.R. §502.253, Access will be entitled to prejudgment interest on its awarded reparations. Interest cannot be calculated at this time since interest “shall be computed on the basis of the average monthly secondary market rate on six-month U.S. Treasury bills commencing with the rate for the month that the injury occurred and concluding with the latest available monthly U.S. Treasury bill rate at the date of the Commission order awarding reparation.” Access requests prejudgment interest at the rates and for the dates as indicated in 46 C.F.R. §502.253.

4. Access is Entitled to Additional Damages Under 46 U.S.C. §41305(c)

46 U.S.C. §41305(c) provides: “(c) *Additional Amounts.*—On a showing that the injury was caused by an activity prohibited by section subsection 1 (b) or (c) of section 41102, paragraph

(3) or (6) of section 41104(a), or paragraph (1) or (3) of section 41105, the Commission may order the payment of additional amounts, but the total recovery of a complainant may not exceed twice the amount of the actual injury.” Access, as the prevailing party in its claims under 46 U.S.C. §41102(c) and 41104(a)(3) should be granted additional damages up to double its awarded damages in the Commission’s discretion.

II. COSCO HAS VIOLATED 46 U.S.C. §41104(a)(8) BY CHARGING DETENTION WHEN THE RETURN OF EMPTY CONTAINERS IS PROHIBITED BY THE LACK OF A DUAL MOVE.

46 U.S.C. §41104(a)(8) provides:

“(a) In General.—A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not—

(8) for service pursuant to a tariff, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage...”

A. Dual transactions result in an unreasonable preference and impose an unreasonable disadvantage.

A dual transaction requires the motor carrier to pick up a full container at the same time it dropped off an empty container. If a motor carrier does not have a corresponding full pick up at the terminal it may not drop off the empty (CF 11). A dual transaction is by its own nature obviously preferential in nature. When a dual move is required to return an empty container, it precludes any motor carrier from returning an empty container unless it has a corresponding full container to pick up (CF 102). Thus, a dual move restriction is giving preference to any motor carrier which have the ability to pick up a full container at the same time as returning an empty at that particular terminal (CF 103). This ad hoc, after the fact limitation on returning empty

containers and charging detention when the motor carrier or consignee is unable to do so, is a violation of the Act since it places undue restrictions and preference on returning empty containers to the detriment of some motor carriers and their customers.

The Commission has also expressed concerns over this practice. As noted by the Commission at 85 FR 29638, 29655 (2020) “The Commission is particularly concerned about the reasonableness of dual move requirements, or more specifically, an ocean carrier imposing detention when a trucker's inability to return a container within free time is due to it not being able to satisfy a dual move requirement.” The Commission's concerns are well founded. As in this case, Access has been charged detention when it was unable to return empty containers if it did not have a corresponding dual move (CF 104). It is COSCO’s obligation to have adequate terminal space to allow for the return of empty containers without such restrictions, 85 FR 29638, 29650 (2020).

B. COSCO’s Detention Rules and Charges are Found in its Tariff.

COSCO has confirmed its detention policies are found in its tariff for both Merchant and Carrier Haulage (CF 105). COSCO does not provide for a detention exception in its tariff if a dual move cannot be used to return an empty container (CF 106). As has been seen in this action, COSCO instead charges detention even if a dual move is not available to the motor carrier (CF 107).

On at least 15 dates, certain COSCO’s terminals designated only dual moves (and a subset of dual on POP) would be required to return empty containers. COSCO routinely charged Access for detention on those dates (CF 108).

Thus, Access has sufficiently established violation(s) of 46 U.S.C. § 41104(a)(8).

III. COSCO HAS VIOLATED 46 U.S.C. §41104(a)(3)

Access concedes that 46 U.S.C. §41104(a)(3) was amended in June of 2022. Nevertheless, whether the Presiding Officer addresses Access’ claims based upon the pre OSRA¹¹ 2022 language or the post OSRA 2022 language, in either case Access has established COSCO has violated the Act.

A. Violations of post OSRA 2022 46 U.S.C. §41104(a)(3)

The Ocean Shipping Reform Act of 2022 (“OSRA 2022”) amended 46 U.S.C. §41104(a)(3) to read:

“(a) In general. A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not—...

(3) unreasonably refuse cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods;...” (emphasis added)

Access has argued above how “dual” requirements are unfair and unjust. To briefly recap, a dual requirement requires the motor carrier to have an order to pick up a full container at the same terminal at same time it desires to return an empty container. Without the full container order, as long as dual moves are required, a motor carrier could be potentially required to hold an empty container indefinitely and be subject to detention charges. The Commission is equally concerned with dual moves, see 85 FR 29638, 29655 (2020). As such, Access has adequately shown violations of post OSRA 46 U.S.C. §41104(a)(3) since dual moves are inherently unfair and unjustly discriminatory.

B. Violations of pre OSRA 2022 version of 46 U.S.C. §41104(a)(3)

Prior to OSRA 2022 46 U.S.C. §41104(a)(3) provided:

¹¹ Ocean Shipping Reform Act of 2022

“(a) In general. A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not—...

(3) retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason...”

In this context, the Commission has clarified that “shipper” is not limited to the factual shipper on a VOCC bill of lading. Instead, “[t]he term “shipper” means a cargo owner, the person for whose account the ocean transportation of cargo is provided, the person to whom delivery is to be made, a shippers’ association, or a non-vessel operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.” Statement of the Commission on Retaliation, Docket no. 21-15, Issued December 28, 2021, pg. 7. Access, at minimum, is acting on behalf of a “shipper” (CF 109).

However, Access, picks up full containers and returns empties on behalf of its and COSCO customers, which are “shippers” as to COSCO (CF 110).

Furthermore, §41104(a)(3) does not require “retaliation” in the literal sense. As explained by the Commission in Statement of the Commission on Retaliation, Docket no. 21-15, Issued December 28, 2021, pg. 6: *“Put differently, the provision prohibits a common carrier from: Resorting to other unfair or unjustly discriminatory methods because ...*

a. the shipper has patronized another carrier,

b. the shipper has filed a complaint, or

c. for any other reason....”

Dual moves are by their very nature unjust and unfair, because COSCO is unfairly penalizing Access for patronizing another carrier or its designated terminal. COSCO and its terminals, by refusing to accept the return of empty containers unless there is a corresponding full container pick up at that terminal, is in effect unjustly and unfairly discriminating for the lack of additional shipments by COSCO or through COSCO's terminal (CF 111). If a full container pick up was available at another terminal on behalf of another carrier, Access would have to forgo returning the empty container (CF 112). Clearly that is a form of unjust and unfair discrimination for patronizing another carrier.

The Commission succinctly summarized the requirements of a pre OSRA 2022 §41104(a)(3) claim as follows: “A complainant must show that *a carrier engaged in* prohibited conduct (refusing cargo space accommodations or *other unfair or unjustly discriminatory methods*), with respect to a protected entity (shipper), because the protected entity engaged in protected activity (*patronizing other carriers*, filing a complaint, or other activities of the same class)” (emphasis added). Commission in Statement of the Commission on Retaliation, Docket no. 21-15, Issued December 28, 2021, pg. 9. As explained above, clearly dual move requirements are a form of unjust and unfair discrimination resulting from patronizing other carriers.

IV. DAMAGES RESULTING FROM COSCO'S VIOLATIONS OF 46 U.S.C. §§41104(a)(3) and (8).

To the extent the Presiding Officer has awarded reparations for COSCO's violations of §41102(c), additional reparations for violation of §§41104(a)(3) and (8) would be duplicative and instead Access seeks nominal damages in the amount of \$1.00 plus attorney's fees and damages as allowed under 46 U.S.C. §41305(c) (CF 113).

V. ACCESS IS ENTITLED TO AN AWARD OF ATTORNEY'S FEES ACCORDING TO PROOF.

46 U.S.C. §41305(e) provides: “(e) *Attorney Fees.*—*In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.*” 46 C.F.R. §502.254 also provides that a prevailing party on any claim herein may be awarded upon petition. The petition should be filed no later than 30 days after a decision becomes final (46 C.F.R. §502.254(c). If found to be the prevailing party, Access will file such petition as required.

CONCLUSION

In assessing detention on dates where there was no availability to return empty containers to COSCO's designated terminals or if only dual appointment were available, COSCO has violated 46 U.S.C. §§41102(c), 41104(a)(3) & (8). Access is entitled to an award of reparations in the following amounts, plus attorney's fees to be subsequently determined per 46 USC §41305, 46 C.F.R. §502.254.

Storage charges of \$115,975.00

Chassis charges \$103,080.00

Stop over charges \$30,750.00

Re-delivery charges \$19,680.00

Paid invalid detention charges: \$45,995.00

Total principal amount of damages: \$353,985.00

Additional damages per 46 U.S.C. §41305(c)

Prejudgment interest according to proof

Attorney's fees according to proof.

Date: December 12, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on December 12, 2024, the foregoing COMPLAINANT'S OPENING BRIEF has been served upon all interested persons and parties by electronic means pursuant to the below list.

On today's date, a further hard copy has also been sent to the Presiding Administrative Law Judge at the below address via courier for next business day delivery and a hard copy has been sent via courier to counsel for respondent at the below address for next business day delivery. In addition, a word version of this document has been sent via email to the office of the Administrative Law Judges and Respondent's counsel.

Stephen M. Uthoff

Stephen M. Uthoff

Counsel for Respondent COSCO

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